STARBUCKS CORPORATION

Company & Business Overview

What the company does, how it makes money, and why it is the focus of this research

FP&A / Driver-Based Financial Model | Consumer | SBUX

FOUNDED	HEADQUARTERS	MARKETS	TOTAL STORES (FY25)	REVENUE (FY25)
1971	Seattle, USA	80+ Countries	40,990	$37,184m

WHAT DOES STARBUCKS DO?

Starbucks runs coffeehouses — it roasts, markets and sells coffee, tea and food through company-owned and licensed stores in more than 80 countries. Most stores are company-operated, meaning Starbucks runs them directly and keeps the full sales; licensed stores (often inside airports, grocery stores or partner outlets) pay Starbucks a fee and a share of sales instead. Beyond the physical stores, Starbucks also sells packaged coffee, tea and ready-to-drink beverages through grocery stores and other retailers — this is called Channel Development. In short: the more cups sold per store, and the more stores open, the more Starbucks earns.

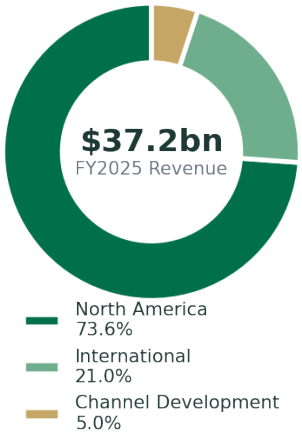
HOW DOES IT MAKE MONEY?

- Store expansion — opening new company-operated and licensed stores adds new revenue every year.
- Comparable sales growth — selling more to the same existing stores, through more visits (transactions) or higher spend per visit (average ticket).
- Channel Development — packaged coffee, tea and ready-to-drink drinks sold through grocery and retail partners.

WHAT DRIVES ITS COSTS?

- Coffee, dairy and other commodity costs, which move with global agricultural prices.
- Labour costs — wages, benefits and staffing for roughly 381,000 employees worldwide.
- Occupancy costs — rent and related expenses for tens of thousands of stores.
- Marketing, technology and corporate overheads that support the brand and digital ordering.

FY2025 REVENUE BY SEGMENT



WHY STARBUCKS?

- Global market leader in the coffee industry, built on one of the world's most recognised consumer brands.
- Multiple revenue streams (company stores, licensed stores, packaged goods) reduce reliance on any single channel.
- Consistent reinvestment in growth, digital ordering and the loyalty programme keeps the brand relevant to customers.
- FY2025 operating cash flow fell 22% while net income fell 51%: most of the $892m restructuring and impairment charge was non-cash, so cash generation held up far better than earnings.

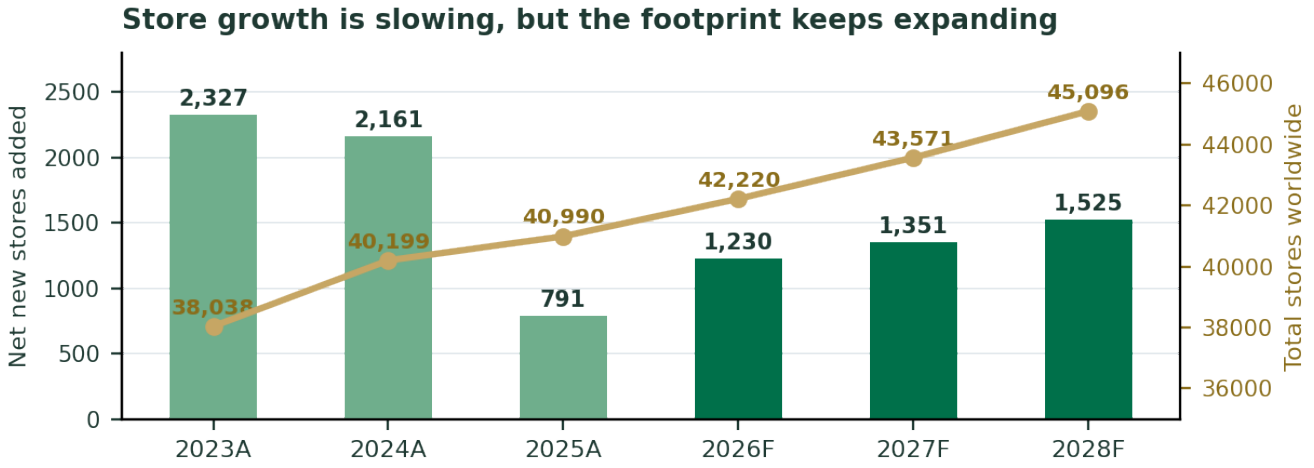
GROWTH PRIORITIES

- Enhance the customer experience — deliver a premium, consistent experience across every channel.
- Expand the global footprint — accelerate growth in high-potential international markets.
- Drive digital engagement — grow mobile ordering and the loyalty programme.
- Improve efficiency — optimise store operations and the overall cost structure.

INDUSTRY	STARBUCKS FY25 STORES	KEY DEMAND DRIVERS	KEY CONSTRAINT
Coffee & Quick-Service Beverages	40,990 stores, 80+ countries	Store growth, comparable sales, digital ordering	Commodity costs, labour, competition

Starbucks competes in the global coffee and quick-service beverage industry — a market shaped by changing consumer habits (more people buying coffee out-of-home), rising input and labour costs, and intense competition from both specialty coffee chains and fast-food players that now sell coffee too.

STORE NETWORK: GROWTH IS SLOWING BUT STILL POSITIVE



GROWTH DRIVERS

- Growing global demand for out-of-home coffee and premium beverages.
- Digital ordering and loyalty programmes increase visit frequency.
- Licensed-store model allows fast, low-capital international expansion.

KEY INDUSTRY RISKS

- Coffee and dairy commodity prices are volatile and hard to predict.
- Rising wages and benefits increase operating expenses industry-wide.
- Economic slowdowns reduce discretionary spending on premium coffee.

WHO ARE STARBUCKS'S KEY COMPETITORS?

Company	What it does	How it compares to Starbucks
Dunkin'	US coffee & doughnut chain, mostly franchised.	Direct North America rival; competes on speed and value, not premium experience.
McDonald's (McCafé)	Global fast-food chain selling coffee too.	Competes on price/convenience; coffee is a small part of a far larger business.
Costa Coffee (Coca-Cola)	UK coffeehouse chain owned by Coca-Cola.	Key rival in Europe & Asia, backed by Coca-Cola's distribution scale.
Luckin Coffee	China coffee chain, mostly app-order pickup stores.	Fast-growing rival in China, Starbucks's 2nd-largest market.

Sources: Starbucks FY2023–FY2025 audited financial statements and operational KPIs; publicly available industry information.

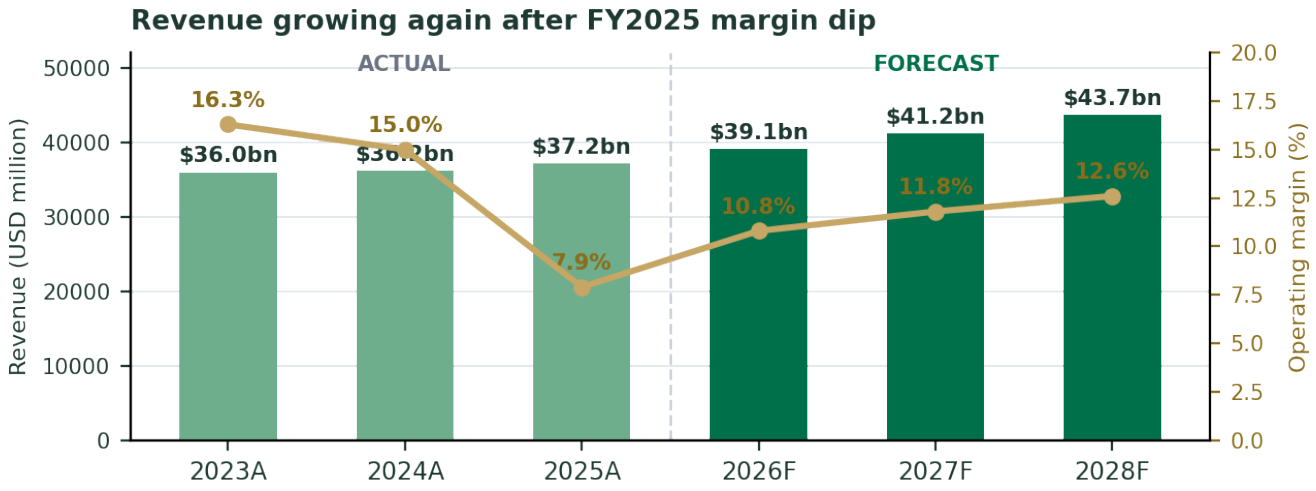
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Financial Performance & Outlook

How the business has performed, and why FY2025 margins dipped before recovering

FY2023A – FY2028F | USD Million unless noted | Base Case

REVENUE & OPERATING MARGIN TRAJECTORY



FY2025 operating margin fell to 7.9% (15.0% in FY2024). Starbucks' FY2025 10-K attributes the drop to restructuring (~2.4pp), deleverage (~2.1pp), labour investment (~1.3pp) and inflation (~0.8pp), while comparable store sales fell 1%. The base case assumes margins recover to 12.6% by FY2028 as the one-off charge falls away and cost ratios improve.

COMPARABLE SALES: A KEY WATCH ITEM

	FY2023A	FY2024A	FY2025A
Comparable Store Sales Growth	+8.0%	–2.0%	–1.0%
Comparable Transactions Growth	+3.0%	–4.0%	–2.0%
Average Ticket Growth	+5.0%	+2.0%	+1.0%

Revenue still grew because new stores offset softer sales at existing stores — a trend worth watching.

KEY SUPPORTIVE FACTORS

- Global brand leadership with a loyal, growing rewards membership base.
- Store network still expanding (+791 net new stores in FY2025).
- Multiple revenue channels reduce reliance on any single market.

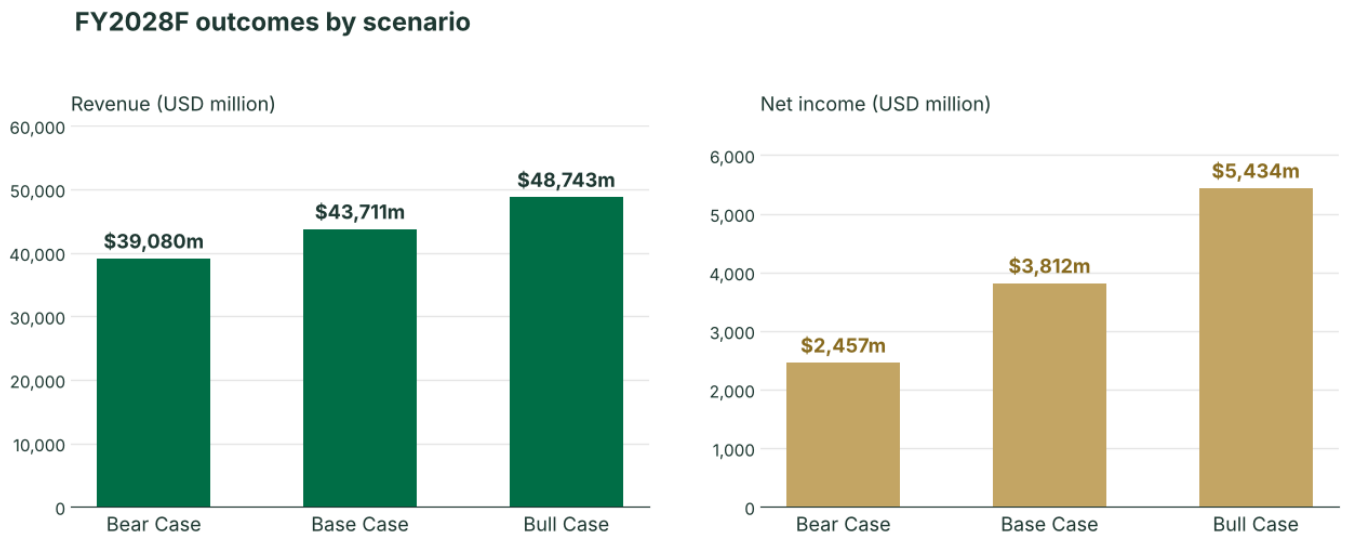
KEY RISKS

- Commodity price volatility (coffee, dairy) directly pressures margins.
- Labour inflation and intense competition remain persistent cost and share pressures.
- Weak consumer spending and FX volatility could slow the recovery.

INCOME STATEMENT FORECAST (BASE CASE, USD MILLION)

	2025A	2026F	2027F	2028F
Total Revenue	37,184	39,066	41,203	43,711
Revenue Growth %	*2.8%*	*5.1%*	*5.5%*	*6.1%*
Operating Income	2,937	4,228	4,856	5,528
Operating Margin %	*7.9%*	*10.8%*	*11.8%*	*12.6%*
Net Income	1,857	2,837	3,308	3,812
Operating Cash Flow	4,747	5,007	5,694	6,359

SCENARIO ANALYSIS — FY2028F OUTCOMES



Driver	Bear	Base	Bull
Total Store Growth %	1.0% – 1.5%	3.0% – 3.5%	5.0% – 5.5%
Cost of Sales % of Revenue	31.8% – 32.2%	30.8% – 31.2%	29.8% – 30.2%
FY2028F Net Income	**$2,457m**	**$3,812m**	**$5,434m**

All three cases are FY2028F outputs of the model's live scenario table (an Excel data table on the scenario selector).

MODEL INTEGRITY CHECK

✓ Balance sheet ties in every historical and forecast year: Assets = Liabilities + Equity — FY2023A $29,445.5m | FY2024A $31,339.3m | FY2025A $32,019.7m.
✓ FY2026F–FY2028F also balance to the cent — the model is fully linked, not just plugged.

METHODOLOGY

- Driver-based FP&A model: revenue is built from store growth and revenue per store, and costs from cost ratios, not fixed growth rates.
- Three-statement model: Income Statement, Balance Sheet and Cash Flow Statement are dynamically linked, and the balance sheet balances in every forecast year.
- Historical data (FY2023A–FY2025A) sourced from Starbucks audited financial statements and operational KPIs; scenario assumptions are illustrative, built for academic use.